



NCDOR

NORTH
CAROLINA
DEPARTMENT
OF REVENUE

Motor Fuels Investigators

- Sworn Law Enforcement Officers
- Statewide Enforcement of International Fuel Tax Agreement (IFTA) & Motor Fuel Laws
- On-Road Enforcement:
 - IFTA Motor Carriers
 - Intrastate Motor Carriers
 - Dyed Fuel Inspections/Investigations
 - Retail Inspections/Investigations
- Conduct random inspections both roadside and at business and/or job sites.

- Motor Fuels Investigators routinely participate in and assist with Special Operations conducted by the NC State Highway Patrol (NCSHP). These operations enlists the help of Local, State and Federal agencies.



OPERATION “PORT CHECK”



Port of Wilmington, NC

Port of Morehead City, NC



Inspecting Trucks Entering the Ports



NCDOR and NCSHP working together to ensure compliance
at North Carolina Ports

“IFTA Blitz” Operations

NCDOR and NCSHP conduct “Blitz” Operations at various Weigh Stations across the State at various times of the year to ensure compliance with IFTA regulations and laws. During these operations, Motor Fuels Investigators look for violations such as expired fuel decals, qualified vehicles without decals, failure to carry IFTA licenses, dyed fuel violations, etc.

- **Reference: NC G.S. 105-449.52(a)(1)**

Fuel Decals



“IN” (Intrastate (NC) decal)



IFTA decal

- **Fuel Decals are REQUIRED for the following:**
 - All vehicles with a “registered weight” OR “actual weight” of **over** 26,000 lbs.
 - All vehicles with a “combined weight” of **over** 26,000 lbs. (this means a “power unit” with an attached trailer, etc. with the weight of the combined unit weighing over 26,000 lbs.)
 - All vehicles, regardless of weight, with three (3) or more axles.

Note: The exception to these rules/laws is that decals are not required on vehicles owned by any government (city, county, state, federal) entity or operated by any legally recognized subsidiary of a government agency.

- **Reference: NC G.S. 105-449.47**

- **IFTA** requires motor carriers be licensed in a 'Base State', display IFTA decals, and carry proof of the license in the vehicle or in accessible electronic form (Jan. 2019).



NORTH CAROLINA DEPARTMENT OF REVENUE
EXCISE TAX DIVISION
P.O. BOX 25000, RALEIGH, NC 27640
(919) 707-7500 TELEPHONE (919) 733-8654 FAX

INTERNATIONAL FUEL TAX AGREEMENT (IFTA) LICENSE
EXPIRES: DECEMBER 31, <<RENEWAL YEAR>>

<<LEGAL NAME>>

<<TRADE NAME>>

<<MAILING ADDRESS LINE>>

<<CITY>> <<STATE>> <<ZIP CODE>>

□

THIS LICENSE IS ISSUED UNDER THE TERMS OF THE INTERNATIONAL FUEL TAX AGREEMENT AND IS VALID FOR VEHICLES OPERATED BY THE LICENSEE IN ALL IFTA MEMBER JURISDICTIONS.

NCDORID: <<NCDORID>> <<FEIN/SSN>> 1272, NC001

A COPY OF THIS LICENSE MUST BE CARRIED IN EACH QUALIFIED MOTOR VEHICLE

- **NC statutes** require motor carriers operating only in North Carolina display “In-state” decals and carry proof of the license in the vehicle or in accessible electronic form (Jan. 2019).



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EXCISE TAX DIVISION
P.O. BOX 25000, RALEIGH, NC 27640
(919) 707-7500 TELEPHONE (919) 733-8654 FAX

NORTH CAROLINA INTRASTATE LICENSE
EXPIRES: DECEMBER 31, <<RENEWAL YEAR>>

<<LEGAL NAME>>

<<TRADE NAME>>

<<MAILING ADDRESS LINE>>

<<CITY>> <<STATE>> <<ZIP CODE>>

□

NCDORID: <<NCDORID>>

<<FEIN/SSN>> 1272, NC002

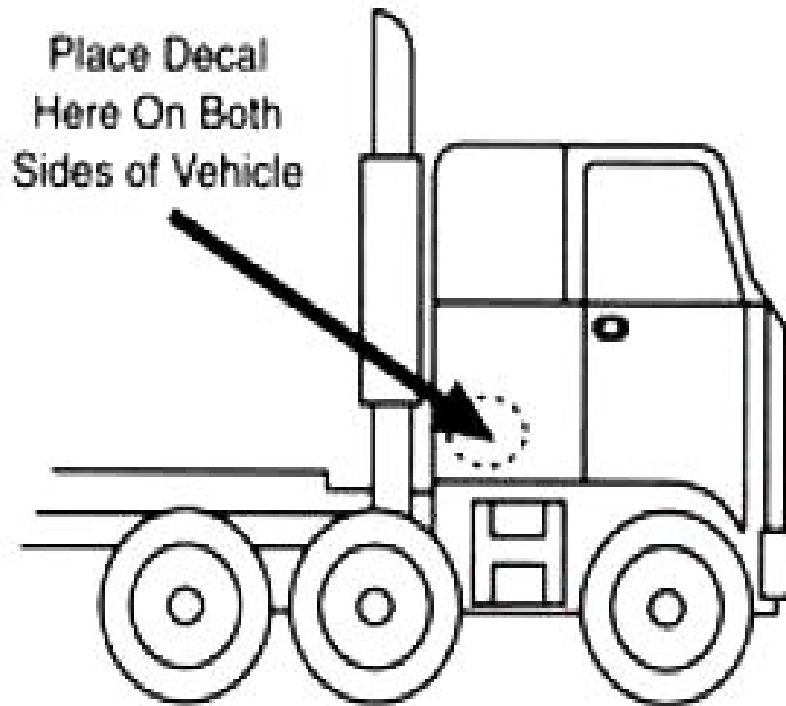
A COPY OF THIS LICENSE MUST BE CARRIED IN EACH QUALIFIED MOTOR VEHICLE

- You **cannot** use fuel decals on your vehicle that were issued to another person or business. Make sure you only use and display decals that were issued to you or your business by NCDOR.

Note: If a lease agreement is obtained documenting the use of the lessor's IFTA decals, this would permit the use of fuel decals from another person or business.

- If you sell, trade, or otherwise dispose of a qualified vehicle, make sure to remove the decals (document decal number, etc.). If possible, maintain possession of removed decals before you release the vehicle to the buyer.
- If you buy a vehicle displaying a decal from a previous owner, **do not** operate it thinking it is okay, or that you are covered using the previous owner's decal. Remove the decal and apply to get your own decal(s) and license(s).
- **Reference: NC G.S. 105-449.52(a)(3)**

Decal Placement Diagram



Application Instructions

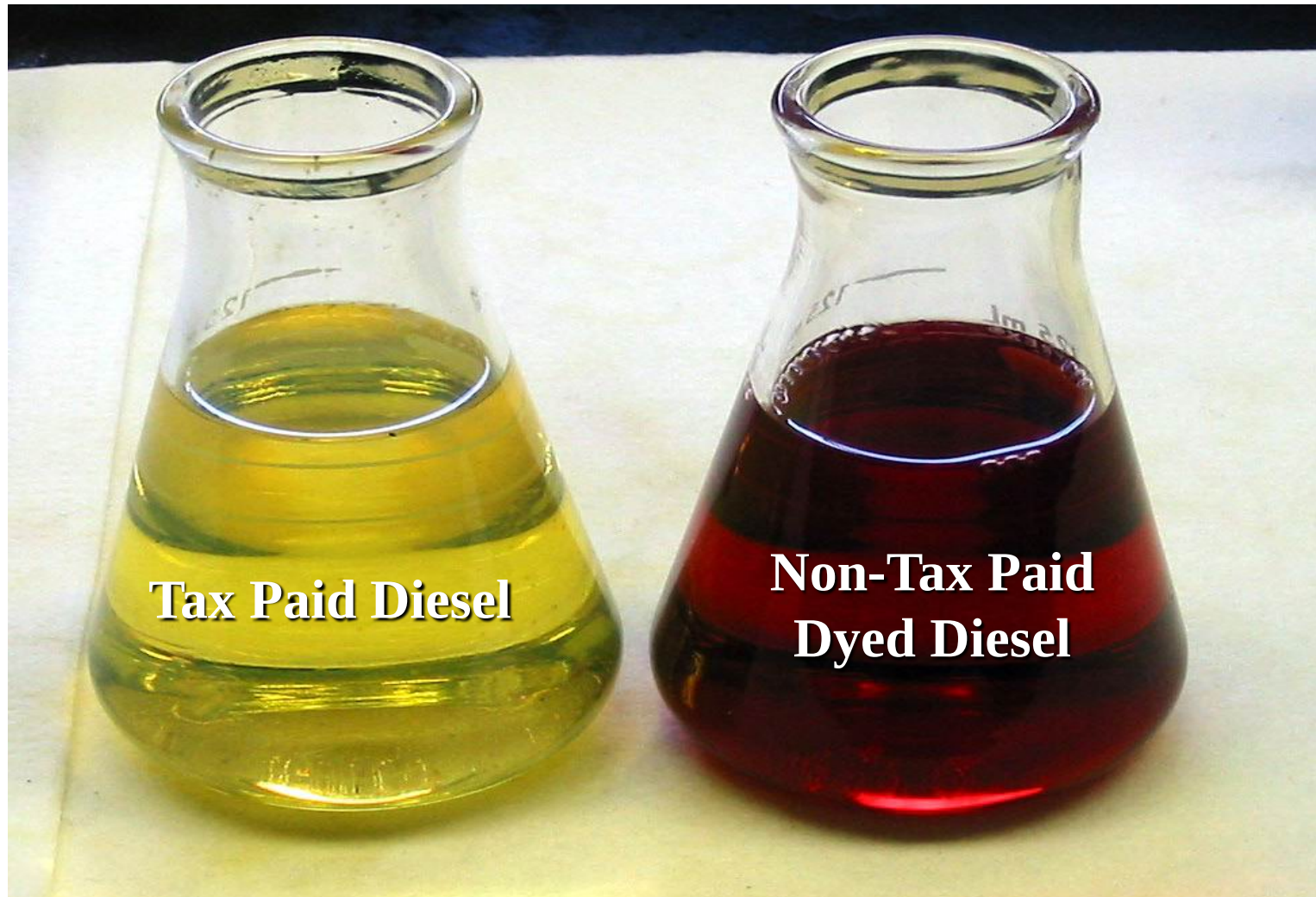
1. Remove prior years' decals.
2. Prepare the area where the decal will be applied by washing with soap and water, cleaning with a petrochemical based solvent cleaner, and wiping with warm water (no soap) and towel dry.
3. Peel decal from paper backing by bending backward at centre and lifting edge.
4. Position decal on surface and rub firmly.

Decal Placement

One of the two decals issued for an IFTA vehicle must be placed on the lower, rear exterior portion of the cab's passenger side, and the second matching decal placed on the driver's side of the vehicle in a similar position. Failure to display both decals in the required locations may subject the vehicle operator to the purchase of a trip permit and/or a citation.

- If you or your company are issued a penalty for a decal violation, this information will be shared with the Motor Fuels Audit Section for possible audit purposes.
- If you have been audited by the Motor Fuels Audit Section for reasons concerning qualified vehicles and during the course of the audit an auditor finds missing or “unaccounted for decals.” The Motor Fuels Audit Section will share this information with the Motor Fuels Investigators Section for investigative purposes. If it is determined decals are missing, penalties will be issued for each missing decal, resulting in an assessment of \$100 per missing decal.
- **Reference: NC G.S. 105-449.52(a)(2)**

Tax-paid and Non-tax paid Diesel Fuel



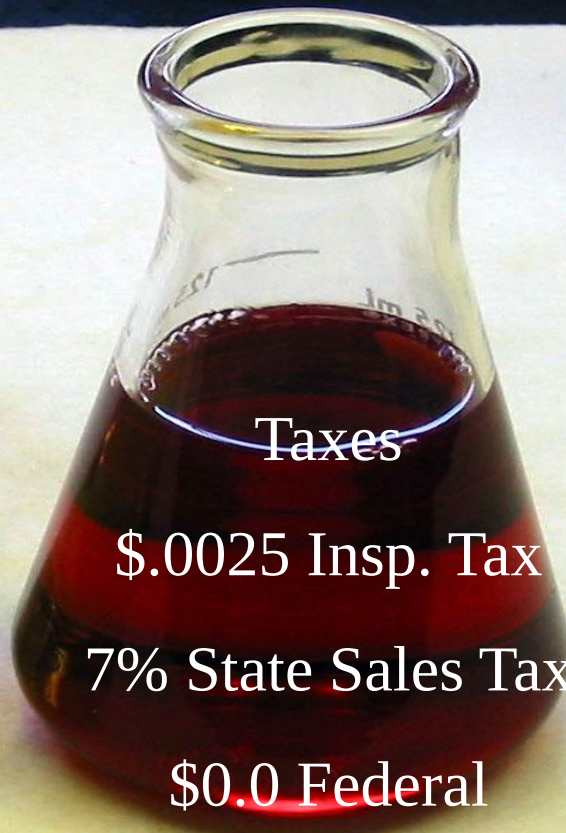


Taxes

\$.362 State

\$.0025 Insp. Tax

\$.244 Federal



Taxes

\$.0025 Insp. Tax

7% State Sales Tax

\$0.0 Federal

With diesel at a pre-tax price of about \$2.30+ per gallon

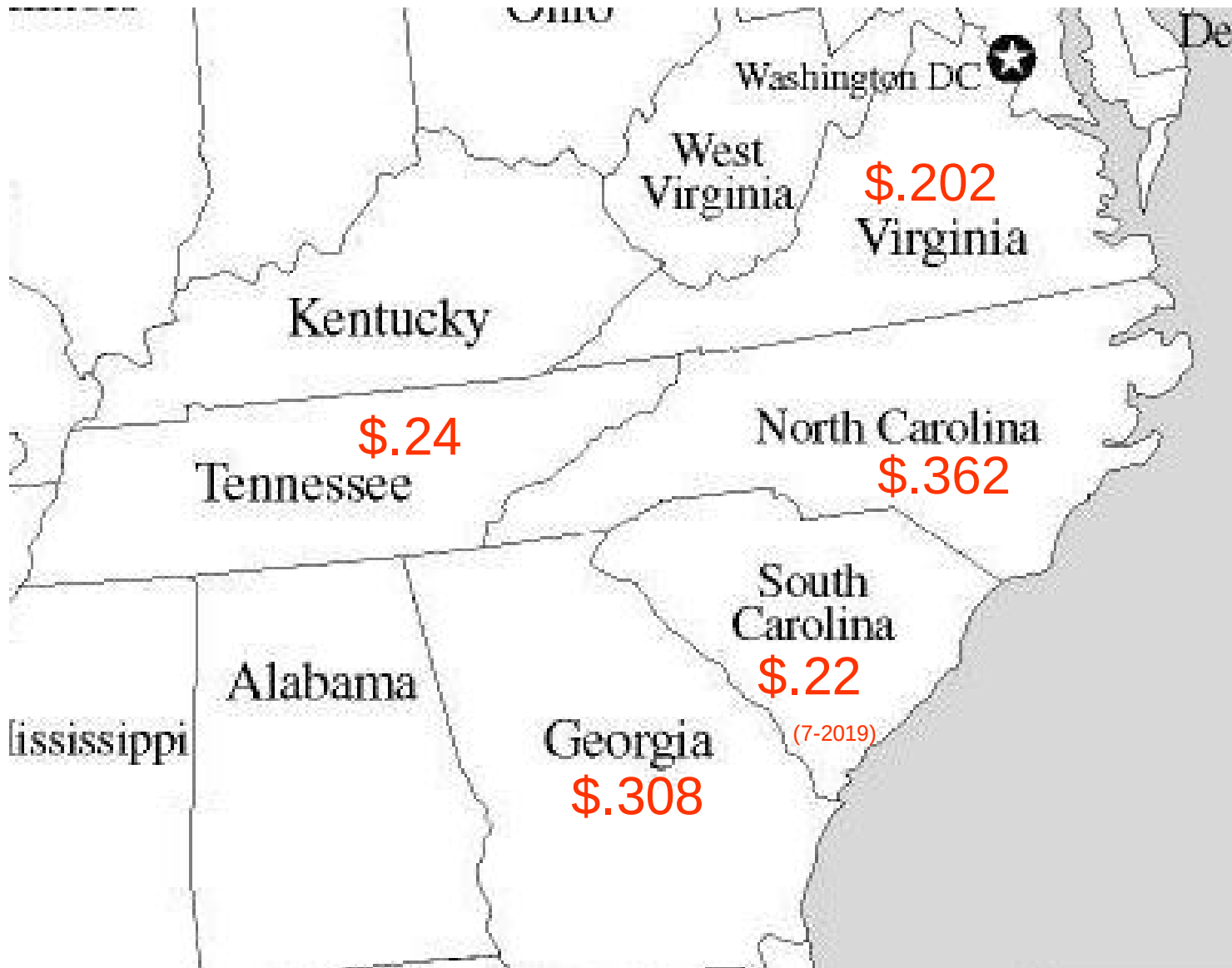
Tax Paid (Hwy.) Fuel Cost is approx. \$2.90 (avg.) per gallon (1-2019)

Cost Analysis

Evasion Can Cost State and Federal Agencies

60¢ + Per Gallon in Highway Taxes

Border State Taxes



Differences
per gallon
(Diesel)

VA = - 16¢

TN = - 12.2¢

GA = - 5.4¢

SC = - 14.2¢

(As of 1/2019)

- The use of any dyed and/or non-tax paid fuel in a highway vehicle, no matter the quantity, constitutes a **violation of the law**. The law makes no distinction on amount used, or the amount introduced into the supply tank.
- Refusal of the taking of a motor fuel sample will result in a penalty, per refusal.
- If you are issued a penalty for Illegal Use of Dyed Fuel this information will be shared with the Motor Fuels Audit Section. An audit could be initiated, which will cover a period of 3-years.
- **Reference: NC G.S. 105-449.117
NC G.S. 105-449.118A**

Vehicles Exempt from Registration

- There are multiple exemptions depending on the type of vehicle and use of the vehicle.
- In some instances, vehicles exempt from registration NC G.S. 105-449.117 does not apply.
- A vehicle that meets all of the following conditions is exempt from the requirement of registration and certificate of title. **The provisions of NC G.S. 105-449.117 continue to apply to the vehicle and to the person in whose name the vehicle would be registered.**
 - a) Is an agricultural spreader vehicle. An "agricultural spreader vehicle" is a vehicle that is designed for off-highway use on a farm to spread feed, fertilizer, seed, lime, or other agricultural products.
 - b) Is driven on the highway only for the purpose of going from the location of its supply source for fertilizer or other products to and from a farm.
 - c) Does not exceed a speed of 45 miles per hour.
 - d) Does not drive outside a radius of 50 miles from the location of its supply source for fertilizer and other products.
 - e) Is driven by a person who has a license appropriate for the class of the vehicle.
 - f) Is insured under a motor vehicle liability policy in the amount required under G.S. 20-309.
 - g) Displays a valid federal safety inspection decal if the vehicle has a gross vehicle weight rating of at least 10,001 pounds.
- **Reference: NC G.S. 105-449.117
NC G.S. 20-51**

Gator



When used in a “for hire” manner, dyed fuel CANNOT be used legally on the roadway in this type of vehicle, regardless of NC G.S. 20-51 and/or licensing requirements.

Prowler



When used in a “for hire” manner, dyed fuel CANNOT be used legally on the roadway in this type of vehicle, regardless of NC G.S. 20-51 and/or licensing requirements.

Amended / Rewritten Statutes

- NC G.S. § 105-449.88. Exemptions from the excise tax.
 - Amended to include motor fuel sold to a joint agency created by interlocal agreement to provide fire protection, emergency services, or police protection (NC G.S. 105-449.88(11)).
- NC G.S. § 105-236. Penalties; situs of violations; penalty disposition.
 - Rewritten to change the situs (venue) of tax law criminal violations from the Wake County Business Court to the county where the charged offense occurs. The Attorney General's Office has concurrent jurisdiction to prosecute tax law offenses upon written request of the local District Attorney (NC G.S. 105-236(b)).

QUESTIONS?

If you have any further questions, contact
the NC Department of Revenue Examination
Division's Motor Fuels Section at
252-830-2432 or visit the Department's
website at <http://www.ncdor.gov>